

IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.302
IA/1200(AHM)2024
in
C.P.(IB)/73(AHM)2021

Proceedings under Section 60(5) IBC

IN THE MATTER OF:

Shalesh Desai
V/s
PG Rishi Kamlesh Agarwal

.....Applicant

.....Respondent

Order delivered on: 09/09/2024

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Sameer Kakar, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER
(Hybrid Mode)

The case is fixed for pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

- Sdr

SAMEER KAKAR
MEMBER (TECHNICAL)

- Sdr

SHAMMI KHAN
MEMBER (JUDICIAL)

**BEFORE THE ADJUDICATING AUTHORITY
NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, COURT-I, AHMEDABAD**

**IA/1200(AHM)2024
in
CP (IB) No. 73 of 2021**

[Application U/s 60 (5) r.w. Section 121 of the IB Code, 2016]

**Mr. Shailesh Desai
(Resolution Professional of Personal Guarantor)**

Having its address at:
708, Raheja Centre, Free Press Marg,
Nariman Point, Mumbai-400021.

.....Applicant

VERSUS

Rishi Kamlesh Agarwal

Having its address at:
4C, Somerset Place, 61 D,
Bhulabhai Desai Road, Mumbai
Maharashtra-400026.

.....Respondent

Order pronounced on 09.09.2024

CORAM:

**SH. SHAMMI KHAN, HON'BLE MEMBER (JUDICIAL)
SH. SAMEER KAKAR, HON'BLE MEMBER (TECHNICAL)**

APPEARANCE:

For the Applicant	: Mr. Bhupendra Dave, Advocate
For the Respondent	: Mr. Aditya Mehta, Advocate

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ORDER

[Per Bench]

1. This is an application being IA/1200/2024 was filed on 04.06.2024 under Section 60 (5) r.w. Section 121 of the IB Code, 2016 by the Applicant/RP seeking following relief:-
 - a) *Consider the present IA 1200 of 2024 under Section 60 (5) of the Code by the applicant seeking the necessary directions from this Hon'ble Bench;*
 - b) *Pass necessary order(s), directing for closure of the insolvency resolution process in respect of Mr. Rishi Kamlesh Agarwal.*
 - c) *Grant liberty for the creditor individually or jointly with other creditors or by debtor in proceed with filing an application under section 121 of the Insolvency & Bankruptcy Code, 2016 for initiation of the Bankruptcy process of the Mr. Rishi Kamlesh Agarwal; and*
 - d) *Pass necessary Orders as this Hon'ble Adjudicating Authority may deem fit.*
 - e) *Issue such other orders as may be necessary in the matter.*
2. It is stated that process of insolvency in the matter commenced by order dated 19.07.2021 in CP (IB) No. 73 of 2021 and the applicant herein was appointed as an IRP. The IRP was thereafter confirmed as RP by the CoC. Thereafter, IRP filed report dated 10.08.2021.



3. Thereafter order under Section 100 was issued on 28.02.2024.
4. It is stated that as per the Section 102 of the Code, the applicant has published a public notice for inviting claims from all Creditors of the PG, the said notice was published in 'Economic Times' (English) & 'Navshakti' (Marathi - vernacular language) in prescribed form -B. The last date of submission of proof of claims was fixed as 22.03.2024. Copy of the extracts of public notice dated 01.03.2024 annexed at Annexure 4.
5. Applicant vide e-mail dated 07.03.2024, intimated Mr. Raj Kumar Poddar, erstwhile RP of Vadraj Energy limited (Corporate Debtor in relation to which the PG has extended guarantee) about the order of Hon'ble NCLT for initiation of CIRP of the PG and requested the Erstwhile RP to share the list of creditors of the CD along with their contact details. On 07.03.2024, applicant has informed the PG about the CIRP and intimated about the appointment of IRP and imposition of Moratorium u/s. 101 of the Code.



6. As per Section 107(3)(b) of the Code r/w. Regulation 10 of IBBI Regulations, the RP shall prepare a statement of affairs of the PG and for that applicant vide e-mail dated 07.03.2024 requested the PG to furnish the required information (more precisely stated in the said e-mail) for the preparation of statement of affairs. The copy of the said e-mail is attached at Annexure 7 to this application.
7. Personal Guarantor is required to prepare a repayment plan in consultation with the RP hence, applicant vide e-mail dated 07.03.2024 requested the PG to commence the preparation of the repayment plan without any delay. Copy of the said mail is attached at Annexure 8 to the petition.
8. As per MCA records, PG is suspended Director of ABG Shipyard Limited (under liquidation) and Vadraj Cement Ltd (under CIRP). Vide e-mail dated 11.03.2024 the Liquidator and RP of the aforementioned companies were apprised about the initiation of insolvency proceedings against the PG and publication notice for inviting claims, further, requested them to share the e-mail IDs of the creditors in the respective companies for calling claims against the PG. ✓



9. Vide multiple reminders through e-mails dated 11.03,2024, 18.03.2024, 05.04.2024, 10.04.2024 & 11.04.2024 requested the PG to furnish the required information for the preparation of statement of affairs and also requested to submit the Repayment Plan at the earliest. Despite aforementioned reminders, neither any information for preparation of the statement of affairs nor the repayment plan was received by the RP as well as letter dated 20.04.2024 was addressed by the applicant to the PG on his recorded address. Copy of the above stated mails are annexed at Annexure – 10 to the petition.
10. In order to reach the PG applicant has visited the office of PG, which was locked.
11. In 1st meeting of the Creditors of the PG convened on 21.05.2024 the applicant apprised the members that despite multiple reminders to the PG, RP did not receive repayment plan from the PG and in absence of the requisite information from the PG, the statement of affairs of the PG could not be prepared.



12. Upon eventually establishing contact with PG, the PG along with one of his consultants first time visited the Applicant's office on 30.05.2024 wherein, applicant has informed that the PG was not responding to the e-mails since e-mail ID was not working and provided his working e-mail address to the RP. Applicant vide e-mail on new e-mail address, requested the PG to submit the repayment plan and necessary documents for the preparation of statement of affairs to which PG informed that all the assets belonging to him were attached by various authorities and investigation agencies and therefore, unable to provide repayment plan. Further, PG assured to furnish the documents available with him.
13. PG has furnished certain documents vide e-mail dated 13.06.2024, on perusal of such documents, applicant find that those were not in line with the desired documents hence, statement of affairs could not be prepared. The applicant also shared such documents with the creditors via Goggle Drive Link for their perusal.



14. PG vide e-mail dated 21.06.2024 referring his net worth as on 10.01.2020 highlighted all the assets owned by the PG have been attached by the CBI and ED and further reiterated that due to the said attachment of assets he will not be able to provide a repayment plan. The said e-mail is attached at page No. 121-122.
15. The said facts were apprised by the applicant in 2nd meeting of the Creditors convened on 24.06.2024.
16. Notice was issued by this Tribunal vide order dated 02.08.2024 which was accepted by the learned Advocate Mr. Aditya Mehta, on behalf of the PG and who sought time to file reply within a period of 7 days.
17. However, despite opportunities given, first on 02.08.2024 and then on 14.08.2024, no reply or any response was filed on behalf of the Respondent/Personal Guarantor. Hence, vide order dated 23.08.2024 right to file the reply was closed.



18. We heard the Learned Counsel for the Applicant/RP, as well as Ld. Counsel for the Respondent/Personal Guarantor and perused the material available on record.

19. **Observation and Directions of this Tribunal:**

I. The reading of Section 106 of the Code is given as follows:

“106. Report of resolution professional on repayment plan. –

(1) The resolution professional shall submit the repayment plan under section 105 along with his report on such plan to the Adjudicating Authority within a period of twenty-one days from the last date of submission of claims under section 102.

(2) The report referred in sub-section (1) shall include that- (a) the repayment plan is in compliance with the provisions of any law for the time being in force; (b) the repayment plan has a reasonable prospect of being approved and implemented; and (c) there is a necessity of summoning a meeting of the creditors, if required, to consider the repayment plan: Provided that where the resolution professional recommends that a meeting of the creditors is not required to be summoned, reasons for the same shall be provided.



(3) The report referred to in sub-section (2) shall also specify the date on which, and the time and place at which, the meeting should be held if he is of the opinion that a meeting of the creditors should be summoned.

(4) For the purposes of sub-section (3) - (a) the date on which the meeting is to be held shall be not less than fourteen days and not more than twenty-eight days from the date of submission of report under subsection(1); (b)the resolution professional shall consider the convenience of creditors in fixing the date and venue of the meeting of the creditors. “

II. As per section 106 of IBC 2016 the debtor shall submit repayment plan, then the Resolution professional shall submit the repayment plan along with his report under Section 105 to the adjudicating Authority. After conducting the meeting of creditors on the repayment plan the Resolution professional shall prepare report of the meeting of creditors and submit it to the Adjudicating Authority. The Adjudicating Authority may then pass an order either approving or rejecting the report.

III. In the case before us, in the absence of any repayment plan filed by the personal guarantor, the procedure on



supra could not be carried out. In such cases where no repayment plan is offered, the RP is left with no option, but not to summon the meeting of the Creditors and simply file a report that since no repayment plan was filed, there may be no justification of summoning the meeting of the creditors. In such backdrop, the order in terms of the proviso to Section 114 of IBC, 2016 would be warranted.

IV. Section 114 of the Code states that:

“114. Order of Adjudicating Authority on repayment plan. –

(1) The Adjudicating Authority shall by an order approve or reject the repayment plan on the basis of the report of the meeting of the creditors submitted by the resolution professional under section 112: Provided that where a meeting of creditors is not summoned, the Adjudicating Authority shall pass an order on the basis of the report prepared by the resolution professional under section 106.

(2) The order of the Adjudicating Authority approving the repayment plan may also provide for directions for implementing the repayment plan.

(3) Where the Adjudicating Authority is of the opinion that the repayment plan requires modification, it may



direct the resolution professional to re-convene a meeting of the creditors for reconsidering the repayment plan. ”

- V. In the given circumstances, since the Personal Guarantor has not filed any repayment plan in spite of given sufficient time, this Tribunal is of the opinion that it is to be given a similar effect of rejection of repayment plan.
- VI. Thus, this application **I.A No. 1200 of 2024** in CP (IB) No. 73 (AHM) of 2021 is **allowed** and stands disposed of.
- VII. The moratorium commenced in terms of section 101 of the IBC 2016 in relation to all the debts and assets of the Respondent/Guarantor shall cease to have effect from the date of this order.
- VIII. The creditors shall be at liberty to initiate the bankruptcy proceedings against the Personal Guarantor in terms of the provisions of Section 121 of the IBC, 2016 under Chapter IV.



IX. The RP stands discharged and he is entitled to claim IRP costs from the Stakeholders.

X. Let a copy of this order be provided to IBBI for the purpose of recording an entry in the register referred to Section 196 of IBC, 2016. The RP shall also make copies of this order available to all the creditors and Personal Guarantor within one week from today.

- Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

MD

- Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)